

LAES pitch deck

PITCH — LAES — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy. No position, no order, no size, into the September 9 half-year report; the stock is only worth re-examining near **\$1.55–\$1.85** (roughly 40% below today's \$2.85), and even that is a trigger to re-open the file, not an order to place.

What we believe

SEALSQ (NASDAQ: LAES) is a Swiss chip and digital-security company building “post-quantum” secure chips — hardware meant to keep working when future quantum computers break today's encryption. It trades at \$2.85, down 67% from its 52-week high of \$8.71 but already up 43% from its low of \$1.99.

The thesis that got it into the courtroom was simple: the company holds roughly **\$485 million of cash** against a market value of about **\$637 million** (≈ 223.4 million shares). Strip the cash out and the entire operating business — chips, design services, a Spanish design center, an in-house ASIC team — is being valued at about **\$160 million**, on revenue that just doubled. That looks like a lot of cash for very little money.

We now believe that framing is wrong, and we believe it for one reason: the cash is not the shareholders' cash in any practical sense.

SEALSQ has two classes of stock. Alongside 191,525,129 ordinary shares there are 1,499,800 “Class F” super-voting shares, and the company's own audited annual report states plainly that WISeKey — its listed parent — “does have” voting power above 49.99%, “substantially greater than, and outsized in comparison to, their economic interests” ([FY2025 20-F](#)). The company is incorporated in the British Virgin Islands, so an outside shareholder has no vote that matters and no buy-out rights to fall back on.

That would be tolerable if the controller had no reason to touch the money. It has every reason. Comparing WISeKey's group numbers to SEALSQ's own: group cash of ~\$495M against SEALSQ's ~\$485M means the **parent itself holds roughly \$10 million**, and group revenue of \$11.4M against SEALSQ's \$11.0M means the parent's non-SEALSQ businesses generate about **\$0.4 million per half-year**. The controlling shareholder is essentially an empty holding company sitting on top of a subsidiary with \$485 million it did not raise.

And the money is already moving. SEALSQ cash is flowing into WISeSat — a satellite business majority-owned by the same parent — which is being taken public through a blank-check merger with Columbus Acquisition Corp at a **sponsor-set \$10.00 per share**, with SEALSQ committing “no less than \$10 million” more. A price set by the sponsor of a blank-check vehicle is not an independent valuation. Each dollar that moves leaves the cash pile at full cost and reappears as a stake nobody outside the family has priced.

Second, and independently: **even if the cash were clean, the business does not grow into the price.** Management's own stated opportunity set is ">\$225 million in identified opportunities through 2029" — about \$56M a year if *every single dollar converts*, which at semiconductor-like gross margins is roughly \$22M of gross profit against operating costs north of \$45M a year. The company's own best case does not reach profitability. Running that through a fair-value table, the realistic outcomes land at **\$1.84 to \$2.44 per share** against a \$2.85 tape.

What the market believes

Two sell-side analysts cover the name. They model FY26 revenue of **\$30.6M** (range \$30.0–31.2M) — essentially the company's guidance midpoint — a loss of about \$0.18 per share, and a price target of **\$5.88**.

Back that target out: at ~223M shares, \$5.88 credits the cash at full face value (\$2.14/share) and then pays another ~\$3.74 per share for the operating business — roughly **\$835 million of enterprise value on \$30 million of revenue, or 27× sales**. Our number for the same business is \$160 million.

So the market is not making an aggressive revenue forecast. It is making a **governance assumption**: that \$485 million held inside a subsidiary counts, dollar for dollar, as shareholder value. The gap between us and the street is not about the company's sales — it's about whether the cash belongs to us.

Why we might have edge

- **We're arguing about the right number.** Our revenue forecast (~\$30M) and the street's (~\$30.6M) are the same. The disagreement is entirely about cash claimability, and that is a 5× difference in enterprise value with a named, documented mechanism behind it — not a difference of opinion about demand.
- **The evidence is charter-level, not forecast-level.** The dual-class language is in the audited annual report. The related-party deal terms are in a press release. Neither depends on predicting anything.
- **We found the controller's motive, which the sell-side write-ups don't discuss.** The parent's near-total dependence on this one subsidiary (~\$10M of its own cash, ~\$0.4M/half of its own revenue) is only visible when you subtract subsidiary figures from group figures. It explains why the cash is moving and predicts that it keeps moving.
- **We did the fair-value arithmetic that the target price implies and nobody publishes.** \$5.88 requires 27× sales on a business that, on management's own numbers, doesn't reach breakeven.
- **The share count everyone starts from is stale.** The originating brief used 199.02M shares; the audited cover plus the March placement gives ~223.4M, cross-checked against a 13G/A filing where a holder's 12,134,793 shares are reported as 5.4% of the class (implying ~225M). Anyone anchored on the old count is mis-stating both market cap and cash per share.

Why it might be priced in

Honestly and symmetrically — several of the reasons we’d normally cite are not available here:

- **The discount is not a secret.** The stock is down 67% from its high. Shares outstanding are up 304% year over year and 45% quarter over quarter; the March placement (30.4M shares at \$4.11, plus warrants on 60.8M at \$5.50) is registered for resale, and the placement agent’s affiliate already shows a holding well below what it took down — i.e. stock has been distributing into the market. The tape has been told about the dilution and the governance. This is a widely-known broken chart, not an undiscovered situation.
- **It has already bounced 43% off the low.** We are not buying at a fresh dislocation; we’re in the middle of the range.
- **The business is genuinely accelerating.** Half-year revenue more than doubled (\$11M vs \$5M), and the parts of the operating story we could verify are real: the ASIC design acquisition is contributing, PKI recurring revenue is growing, and the QS7001 chip did obtain a NIST entropy-source certificate (#E333), a genuine precondition for the higher security certifications.
- **The guidance bar is easy, not hard** — see below; one of our own benches got this backwards. If the market is discounting a guidance cut, the market is wrong about that specific thing, and a clean September print could squeeze the stock hard against us.
- **Our fair-value roof depends on an assumption we can’t anchor.** What the venture stakes (WISeSat and others) are actually worth is the swing factor between “modestly below the tape” and “far below it,” and we have no independent mark on any of them.

What we checked ourselves

Both benches worked from the same evidence pack. The right column is deliberately unflattering where our own work failed.

Claim	How checked	Found	Confirmed?
Parent holds super-voting control disproportionate to economics	Pulled the audited FY2025 annual report directly and read the risk factor verbatim; both benches did this independently	191,525,129 ordinary + 1,499,800 Class F; report states the parent “does have” >49.99% voting power “outsized in comparison to their economic interests”; BVI incorporation means no buy-out rights	YES — the load-bearing fact
Cash is being routed to a related party at a price the family sets	Read the merger announcement for the satellite subsidiary’s listing	Parent + SEALSQ jointly take 25.0M shares at a sponsor-set \$10.00; SEALSQ owes “no less than \$10 million” more; no separately audited financials of the acquired business in view	YES
The controller <i>needs</i> the money (not just <i>can</i> take it)	Subtracted SEALSQ’s own figures from the parent’s group figures	Parent-level cash ≈ \$10M; parent’s non-SEALSQ revenue ≈ \$0.4M per half-year	YES — and our first bench missed this entirely, arguing the means without the motive

Claim	How checked	Found	Confirmed?
Cash reported as \$495M in one place and \$485M in another for the same date — a disclosure inconsistency	Traced both filings back to their filer IDs	FALSE ALARM — our own error. The \$495M is the <i>parent's consolidated group</i> figure (filer 1738699), not SEALSQ's (filer 1951222). The \$10M cash and \$0.4M revenue gaps reconcile exactly as parent-level items. Our first bench inherited a wrong filer ID from the originating brief and graded a non-finding as “confirmed”	NO — withdrawn. Inverting the error is what produced the row above
The doubling is mostly acquired revenue, not organic	Reconstructed from the audited FY25 release: the acquired design business contributed ~\$3.5M in five months	Organic half-year growth $\approx +36\%$, not $+120\%$. Fact holds	YES on the fact
...therefore the company will miss its own 50–100% guidance	Second bench redid the comparison properly	Our first bench's conclusion was wrong — it compared organic-vs-total against a total-vs-total guide. Done correctly, the low end of guidance needs only $\sim +15\text{--}26\%$ <i>organic</i> growth, which is <i>less</i> than the 36% the first bench itself computed. Our own finding refuted our own conclusion	NO — overturned
Second half must “match the record quarter twice” — a cut is coming	Recomputed as half-over-half instead of quarter-counting	Wrong. H2'25 was \$13.3M; the low end of guidance needs H2'26 = \$16.0M, i.e. +20.3% year over year — the <i>easiest</i> growth rate anywhere in the guide, after a half that printed $+120\%$. Our automated seasonal-comparison tool was unavailable and the series was hand-built, which is how the error got through	NO — overturned
The letter's framing of Q2 is honest	Compared the letter's language against the actual quarterly series	Q4'25 printed \$8.0M; Q2'26 printed \$7.0M. Calling Q1→Q2 “a clear sequential acceleration” while omitting the larger quarter four prints earlier makes a recovery read as an acceleration	YES — sustained as a presentation tell, though it does not change the numbers
Fair-value / prize table	Second bench recomputed the first bench's arithmetic line by line	Two arithmetic errors in the section that carries the verdict: two rows overstated per-share value by exactly \$1.00 each, and post-burn cash per share was \$0.92, not \$1.34. Offsetting error the other way: the first bench subtracted the cash spent on venture stakes and then valued those stakes at zero in every scenario. Corrected, with a 50% recovery on the venture book: \$1.84 / \$2.44 / \$3.79 / \$6.74 for organic-only / guidance-extends / full-pipeline-converts / blue-sky	YES, corrected — the conclusion survived and got worse, not better
Share count and enterprise value	Audited cover + March placement + a 13G/A cross-check	$\sim 223.4\text{M}$ shares (not 199.02M as the originating brief said) → market cap $\sim \$637\text{M}$, enterprise value $\sim \$160\text{M}$. This	YES

Claim	How checked	Found	Confirmed?
		correction runs in the thesis's favor — the stock is cheaper than the brief claimed — and we state it because it cuts against our own verdict	
Is there a live shelf or at-the-market program?	Attempted to read the relevant annual-report sections through a proxy fetch	Retrieval was partial; nothing found, but not verified either way	NO — open gap, and a serious one against 304% year-over-year share growth
Physical build-out of the Spanish design center (satellite check)	Attempted thermal and construction-imagery detectors	The only coordinate on file (39.32607, -4.83798) is a country centroid ~350km from the stated Murcia site . Running the analysis anyway would have manufactured false confidence	NO — not run, deliberately
Customer quality screening	Attempted export-control / sanctions screening of the pipeline	Impossible; the “more than fifteen prospective customers” are unnamed. The unnameability is itself the finding — a pipeline nobody can name cannot be screened by us or by the board	NO — and that's the answer
Live price re-poll	Both benches tried to independently re-poll the broker	Permission denied to both. All prices here come from the shared evidence pack (\$2.85–2.86, built 2026-08-18)	NO — coverage gap
New insider (Form 3 filed 2026-08-17, three weeks before the print)	—	Neither bench opened it . It sat in the evidence pack unexamined	NO — unchecked

PROPOSED ENTRY BANDS

There is no entry. Size zero. No order goes on the book.

The verdict is not “wait for a better price on a good idea” — it is that a governance defect at the charter level means this cash pool can never be credited at face value, and the September report cannot fix it, because nothing disclosed on September 9 changes who controls the votes.

Reopen band (a trigger to re-run the analysis, not an order):

	Level	Where it comes from
Today's price	\$2.85	Evidence pack, 2026-08-18
Cash per share at face value	\$2.14	\$477M net cash ÷ 223.4M shares
Realistic fair-value range	\$1.84 – \$2.44	Corrected scenario table: organic-only \$1.84, guidance-extends \$2.44, full pipeline converts \$3.79, blue-sky \$6.29–6.74
Re-court trigger	\$1.55 – \$1.85	Fair value discounted 15% for the governance overhang, per our standing rule that a name with an integrity flag never gets credited at full fair value

Explicitly: do not place a resting order at \$1.85. It sits ~40% below the market and is unlikely to fill except in a disorderly move — and a disorderly move in this name would most likely *be* the news that

the cash is being converted, which is the thing we're avoiding. If it trades there, we re-open the file and re-verify; we do not buy automatically.

No adds, no trims, no exits — there is nothing to add to or trim.

Things that would make us re-open above that band (any one of these is worth a full re-court immediately, at whatever the price is):

1. The September 9 audited half-year report showing, in the acquisition-accounting note, **organic H1'26 revenue of \$8M or more** (implying the acquired business contributed under \$3M and organic growth exceeded 60%).
2. A **board-approved cap on further related-party investment**, a sunset or conversion of the super-voting shares, or a buyback or tender actually executed below cash value — anything that makes the pool reachable. An executed repurchase below net cash is the single strongest reversal signal.
3. A **named customer and a dollar figure** on QS7001 or QVault backlog — not “fifteen prospective customers evaluating.” This is the only thing that raises the ceiling on the fair-value table.
4. An **arm's-length outside mark on the satellite business** — a third-party investment at or above \$10.00 with no participation from the parent or SEALSQ, or a post-redemption trust figure from the blank-check vehicle. That converts an unpriceable stake into a priceable one.
5. Confirmation that **no shelf or at-the-market program is live**.

Catalyst dates:

Date	Event	Confirmed?
2026-09-09	H1 2026 audited interim results (~15 trading days out)	Unconfirmed — derived from a data vendor, not a company announcement. Supported by last year's cadence (H1'25 was published 2025-09-09)
September 2026	QS7001 V1 hardware evaluation test report + Common Criteria lab letter expected	Company-stated in the August 13 CEO letter ; month only, no date
~November 2026	TCG certification for QVault TPM-183	Company-stated, approximate
December 2026	QS7001 V2 full PQC test report + CC lab letter; FIPS 140-3 lab letter to NIST for TPM-183; first commercial QVault revenue “expected by end of 2026”	Company-stated, month only
~February 2027 / ~April 2027	TPM-185 FIPS submission / TCG certification	Company-stated, approximate
Undated	Satellite subsidiary's blank-check merger closing and the associated SEALSQ cash commitment	No date announced — this is the event that matters most and we have no timing on it

Note that the certification timeline in the August letter is *itself a delay* relative to prior guidance — the letter says so (“we have updated our certification timeline”). Treat each of those dates as a slip candidate.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.14 (deck-provisional: Face-value net cash per share (\$477M / 223.4M sh) - informational marker only; buying at or below cash)
- filing watch: 6-K until 2027-02-13 (deck-provisional: H1 2026 audited interim - read the acquisition-accounting note for the organic vs acquired revenue spl)
- dated pack LAES|2026-09-09: LAES: H1 2026 audited interim results; vendor-derived date, matches prior-year cadence (H1’25 published 2025-09-09). (date confirmed=False)
- dated pack LAES|2026-09-30: LAES: QS7001 V1 hardware evaluation test report + Common Criteria lab letter expected (company says ‘September 2026’; month only). (date con
- dated pack LAES|2026-11-30: LAES: TCG certification for QVault TPM-183 expected (company says ‘around November 2026’). (date confirmed=False)
- dated pack LAES|2026-12-31: LAES: QS7001 V2 PQC test report + CC lab letter; FIPS 140-3 lab letter to NIST for TPM-183; first commercial QVault revenue ‘expected by end
- dated pack LAES|2027-02-28: LAES: QVault TPM-185 FIPS 140-3 submission expected (company says ‘around February 2027’). (date confirmed=False)

What remains unverified

Stated plainly, because several of these could change the verdict:

1. **Whether a shelf registration or at-the-market equity program is live.** We could not confirm either way — the document retrieval was partial. Against 304% year-over-year share growth this is the most consequential open item after the governance question.
2. **What the venture portfolio is actually worth.** The two benches used 0% and 50% recovery assumptions and neither is anchored to any outside transaction. This assumption alone moves fair value by roughly \$0.45 per share and is the difference between “somewhat below the tape” and “far below it.”
3. **The September 9 date itself.** Vendor-derived, not company-confirmed. Supported only by last year’s pattern.
4. **The organic/acquired revenue split.** Our figure is a reconstruction from a five-month contribution number in a press release, not from the audited accounting note. It confirms or breaks on September 9.
5. **Whether the Spanish design center is physically ramping.** We have no correct site coordinate, so both satellite-based checks were abandoned rather than run against the wrong

location. A count of job postings in Murcia and Grenoble would be the cheapest substitute and no one has run it. Employee base for future comparison: ~300 post-acquisition.

6. **Who the pipeline customers are.** Fifteen-plus unnamed evaluators cannot be screened for concentration, jurisdiction, or export-control exposure by us or by anyone else.
7. **The Form 3 filed 2026-08-17** — a new insider three weeks before the print, unread by either bench.
8. **Live pricing.** Every price here comes from a pack built 2026-08-18; neither bench could independently re-poll the broker.
9. **The certification milestones.** Every date in the table is the company's own estimate, in a letter that was itself revising previously-given dates downward.

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